Tax News & Insights

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OmniTax Professionals

Part IVA applies to Hilton's pre-sale hotel restructure

On 9 September 2026, the Federal Court dismissed the taxpayer's appeal in *Hilton International Australia Pty Ltd v Commissioner of Taxation (No 2) [2026] FCA 1325*, upholding the Commissioner's application of the Part IVA general anti-avoidance rules to the sale of the Hilton Sydney hotel. The decision is a first-instance Federal Court decision and may be subject to appeal.

Before the sale, the Hilton Group undertook a series of restructuring steps under which the hotel and associated business assets were consolidated into an Australian subsidiary. The transaction was ultimately structured as a sale of the subsidiary's single share by a newly incorporated Luxembourg company for approximately $29 million, together with the purchaser's repayment of approximately $420 million of intercompany debt owed to the Australian Hilton group. The Australian group did not return a taxable gain from the sale structure, while the Luxembourg company returned a net capital gain of approximately $21 million.

The Court upheld the Commissioner's decision to include $173.3 million in the Australian taxpayer's assessable income. It found that several alternative sale structures advanced by the Commissioner were reasonable and would have produced a substantially higher Australian capital gain. The Court also rejected Hilton's preferred alternative because it contained substantially the same tax-avoidance features as the transaction actually implemented. In considering dominant purpose, the Court placed particular weight on the difference between the legal form and commercial substance of the transaction, its unexplained complexity and the absence of contemporaneous documents supporting some of the commercial explanations later advanced by the taxpayer.

The decision highlights that a transaction may have genuine commercial objectives and still attract Part IVA where the particular structure adopted is objectively directed towards obtaining a tax benefit. Businesses contemplating a pre-sale restructure should carefully assess realistic alternative transaction structures and ensure that the commercial reasons for the selected structure are clearly documented at the time. Tax considerations may legitimately influence transaction design, but the commercial rationale should be supported by contemporaneous evidence and should explain any additional complexity created by the structure.

ASIC continues Corporations Act relief for AMITs

ASIC has issued the *ASIC Corporations (Attribution Managed Investment Trusts) Instrument 2026/726* to continue relief supporting the operation of attribution managed investment trusts (AMITs). The instrument commenced on 25 September 2026 and replaces the previous 2016 instrument, which is due to sunset on 1 October 2026.

The instrument addresses potential inconsistencies between the AMIT attribution rules and the responsible entity obligations under the *Corporations Act 2001*. In particular, it allows the responsible entity of a registered AMIT to attribute tax amounts to members on a fair and reasonable basis under the AMIT rules, even where this results in different tax outcomes for members holding interests of the same class. This prevents the attribution from breaching the general duty to treat same-class members equally.

The instrument also continues an alternative process for a responsible entity to modify, or repeal and replace, a scheme constitution where reasonably necessary or incidental to enable the scheme to operate as an AMIT. Subject to specified consultation and notification requirements, this may allow the changes to be made without following the usual member approval process under section 601GC of the Corporations Act. The continued relief reduces regulatory uncertainty and compliance costs for registered schemes operating, or seeking to operate, under the AMIT regime. The instrument is scheduled to remain in force until 1 October 2031.

Sustainable FBT treatment of eligible EVs – Exposure Draft Legislation

On 11 September 2026, the Federal Government released *Treasury Laws Amendment Bill 2026: Phased Changes to the FBT Electric Car Exemption*, which seeks to implement the 2026-27 Budget measure to transition the current 100% FBT exemption to a 25% FBT discount for certain electric cars. This is proposed to occur in a phased approach as follows:

- 1 July 2022 to 31 March 2027 – eligible EVs that are provided to employees by the employers under commitments made before 1 April 2027 can be exempt from FBT.
- 1 April 2027 to 31 March 2029 – eligible electric cars that are provided to employees by their employers under commitments made before 1 April 2029 can access a 100% FBT discount (where the EV has a base value of $75,000 or less) or 25% FBT discount (where the EV has a base value of more than $75,000 but not more than the fuel-efficient car limit).
- 1 April 2029 onwards – eligible electric cars that are provided to employees by their employers under commitments made on or after 1 April 2029 can only access a 25% FBT discount.

Foreign resident CGT changes commence on 1 October 2026

From 1 October 2026, the new foreign resident CGT rules will take effect. The changes are summarised as follows:

- Broadening of the assets on which foreign residents may be subject to Australian CGT, including infrastructure, energy and transport assets, certain plant and equipment, and water entitlements closely connected to Australian land.
- For indirect interests, the point-in-time principal asset test will become a 365-day testing period.
- A foreign vendor providing a declaration that an interest is not an indirect Australian real property interest must also notify the ATO for certain transactions with an aggregated market value of at least $50 million.
- A transitional 50% CGT discount is available for certain renewable energy assets disposed of by eligible foreign residents until 30 June 2030.

Foreign investors should review affected assets and proposed transactions before disposal.

PAYG Monthly Instalments – Exposure Draft Legislation

On 11 September 2026, the Federal Government released *Treasury Laws Amendment (Tax Reform No.5) Bill 2026: PAYG Monthly Instalments*, which seeks to implement the following reforms announced in the 2026-27 Budget from 1 July 2027:

- Allow taxpayers required to report PAYG instalments to do so on a monthly basis from 1 July 2027 – can elect in prior to income year commencing and can opt out prior to income year commencing (subject to automatically meeting threshold for monthly payments).
- Require taxpayers with a demonstrated history of non-compliance with their tax obligations to report and pay their PAYG instalments monthly.

Previously, entities must generally pay PAYG instalments quarterly and can only pay PAYG instalments monthly if their base assessment instalment income is greater than $20 million - this remains the default rule.

R&D Tax Incentive – Exposure Draft Legislation

On 11 September 2026, the Federal Government released *Treasury Laws Amendment (Tax Reform No.5) Bill 2026: Better Targeting the Research and Development Tax Incentive*, which seeks to implement the following reforms announced in the 2026-27 Budget from 1 July 2028:

- Increase offsets by 4.5 percentage points for eligible core R&D activities and remove eligibility of supporting R&D activities
- Reduce the intensity threshold for the non-refundable offset to 1.5% (down from 2%)
- Increase the turnover threshold for the refundable offset to $50 million (up from $20 million)
- Increase the minimum expenditure threshold to $50,000 (up from $20,000)
- Increase the maximum expenditure threshold to $200 million (up from $150 million)
- Limit refundability to firms up to 10 years of age, with an extension for up to 15 years for eligible firms undertaking R&D activities related to therapeutic goods

Venture Capital Schemes & Innovative Business CGT Concession – Exposure Draft Legislation

On 11 September 2026, the Federal Government also released exposure draft legislation implementing the 2026-27 Budget measures for tax incentives for venture capital schemes (expansion of asset values, fund sizes and thresholds) and innovative business CGT concession (50% discount on capital gains from eligible early-stage investments in innovative start-ups from 1 July 2027).

Contact

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